

the capital was symbolic of how both sides are making a concerted effort to push the relationship beyond just defence purchases. Trade between India and Russia now hovers at \$3 billion compared to Indo-China and Indo-US trade that last year averaged around \$20 billion each.

Clearly both countries are working far below their potential. Much of this was because immediately after the break up of the Soviet Union, the Russian economy slumped and was badly managed. Business confidence in the country had dropped. That changed after Vladimir Putin emerged as President in 2000 but trade between

ness and the Russians have expressed interest in the Nano. But as one Russian businessman joked, "Given our size probably only two Russians can sit inside the car instead of four." The booming Russian energy sector continues to attract Indian investments. As does titanium with the Russians possibly the biggest producers of products made from this strategic metal. Coking coal is another area where the two countries are exploring areas of co-operation. There is also growing synergy in the diamond trade. "The litmus test would be the ability to

CULTURAL FEAST: Russian folk dancers performing in Delhi

expand the scope for trade in the private sector," says Kanwal Sibal, former Indian ambassador to Russia.

Some progress was made on two nagging issues that have bogged relations between the two countries in recent months—sale of nuclear reactors and the *Gorshkov*. Significantly, the agreement for the Russians to sell four new nuclear reactors was initialled during Zubkov's visit. India had put off signing it when Manmohan went to Russia in November 2007 explaining that it was waiting for the Nuclear Suppliers Group (NSG) to clear all its members to engage in civilian nuclear trade with Delhi. With the Indo-US nuclear deal



the two countries still didn't grow fast enough. Now the countries have decided to increase bilateral trade to \$10 billion by 2010 and are looking at a Comprehensive Economic Co-operation Agreement. Part of this saw the formation of a CEO forum represented by top business honchos from both countries which would explore the best ways to push up trade in the private sector.

It's going to be an uphill task to meet the target though. The Indian IT sector which has made waves elsewhere in the world has not made much of a dent in the Russian market. Russian shipping and civil aviation sector, once a major force, faces stiff competition from other countries. India's auto industry, especially Tata, has made some headway in the truck busi-

SPRING RETURNS

■ Indo-Russian relations will get a boost with the inauguration of the Year of Russia in India

■ It would see the year-long festival of Russian culture taken to all major Indian metros

■ Major efforts are being made to increase bilateral trade to \$10 billion by 2010

■ CEO forum set up to push up private sector trade in areas like minerals, diamonds, high technology and infrastructure

■ Outstanding issues like the delivery of *Gorshkov* and sale of nuclear reactors to be sorted out

ness running into roadblocks, India thought it wise not to push ahead with agreements with other countries like Russia and France till the NSG clearance came. But with Left parties protesting so vociferously, initialling the agreement with Russia without formally signing it was seen as a concession.

The *Gorshkov* issue too was raised during Zubkov's visit and while the Russians made no commitments there was indication that they would re-look at their demand to raise the price and also take steps to hasten its delivery. So it was with relaxed smiles that both Zubkov and Manmohan watched the spectacular Russian cultural extravaganza in Delhi that include ballet, opera and folk dances. The evening appropriately ended with the song 'We are together'.